Referee Report "Falling Rates and Rising Superstars"

I thank the authors for taking the comments very seriously and for making their replication package and code available. The quality of the new draft has improved substantially over the previous draft. I can see how much work this was.

Summary

The paper has changed substantially and now focuses on the empirical facts. The paper conducts two main analyses. First, the paper conducts a high-frequency test that examines whether the effect of monetary policy on stock prices is stronger for large versus small firms when interest rates are low. Second, the paper conducts a low-frequency test that examines whether the effect of monetary policy on firm outcome variables (borrowing costs, revenue, capital expenditure, debt, assets, PP&E, acquisitions, leverage) are stronger for industry leaders versus followers when interest rates are low. For both tests, the paper finds that larger firms (or industry leaders) are affected more when interest rates are low.

Main Comments

Unfortunately, the new update has not succeeded in convincing me about the results. I have two comments – that have both been highlighted by me before:

- Comment 1: I have gotten more skeptical about the results. The paper's specifications change throughout the paper. First, the high-frequency analysis focuses on a continuous measure of firm size, but the quarterly analysis compares top-5% firms (leaders) with the remaining firms (followers). I do not see any justification for this change. Figure A.4 which uses a continuous measure of firms size is not re-assuring. It shows that the borrowing costs (the main quarterly outcome variable) go away once one uses a continuous measure of firm size. Second, the paper uses a continuous measure of the rate in the quarterly analysis, but then uses a dummy variable in the high-frequency.

As I show below, the main high-frequency results are not particularly robust to using a continuous rate control. This has me worried that the results are only there once one follows the particular specification chosen by the authors.

- This is particularly problematic since the main contribution of the paper is now to establish empirical facts.

- Comment 2: I am still worried that the results are (mostly) explained by forward guidance. Consistent with this the coefficient in column (6) in Table 1 shows that the effect during the ZLB is much larger than for the non-ZLB period. I agree with the authors' assessment in the response that "this is primarily a question of understanding the mechanisms behind the results, not an identification concern". But the mechanism is important. For example, for the "result to inform the broader literature on the possible links between interest rate and market power" (paragraph 1 in the paper), it is important that the results hold for shocks capturing the secular decline in interest rates, not "just" because short rates transmit more strongly to long-term rates due to forward guidance.

Robustness of Main Results: I remain skeptical about the results. I don't think specification (2) is the most natural to estimate. One may worry that the results depends on how exactly the high-rate and the low-rate regime (the *"post"* dummy) are chosen. In particular, the classification of the low vs high regime has changed in the new iteration of the paper (to be fair, there was also an extension of the data).

A natural specification is to construct interaction terms with a proxy for the level of interest rates (this is exactly what the quarterly analysis does). I have used the code and data that the authors provided to run these regressions using two proxies: (a) FFR_{t-1} measures the fed funds target prior to the meeting and (b) $2yTBILL_{t-1}$ is the 2-year T-bill rate prior to the meeting. This follows Table 2 in the draft but instead of using the average federal funds rate over each "regime", it uses the rate directly prior to the meeting. For comparison, columns (1) and (2) follow the specification in the paper, i.e. with $\overline{FFR}$.

One can see in columns (4) and (6) that the main results change substantially when using this continuous rate proxy. More specifically, the results that large firms are more impacted than followers when rates are low is close to zero and far from being statically significant. This contrasts with the abstract "we find that falling interest rates in a low interest rate environment favor industry leaders".

Table 1: Replicating Table 2 with continuous rate level

	R_{it}					
	(1)	(2)	(3)	(4)	(5)	(6)
ω_t	-1.710***	-0.873**	-0.609***	-0.257	-0.670***	-0.318
	(0.320)	(0.400)	(0.133)	(0.209)	(0.147)	(0.240)
Rate	-0.0505***	-0.0508***	-0.0165	-0.0165	-0.0135	-0.0135
	(0.0170)	(0.0170)	(0.0126)	(0.0126)	(0.0126)	(0.0127)
$\omega_t *$ Rate	0.319***	0.152	-0.00565	-0.0332	0.0122	-0.0137
	(0.0840)	(0.103)	(0.0438)	(0.0530)	(0.0402)	(0.0541)
$\omega_t * \bar{X}_i$		-1.387***		-0.573**		-0.572*
		(0.385)		(0.284)		(0.326)
$\omega_t * \bar{X}_i *$ Rate		0.277***		0.0431		0.0403
		(0.103)		(0.0655)		(0.0706)
Rate =	$\overline{\text{FFR}}$	$\overline{\text{FFR}}$	FFR_{t-1}	FFR_{t-1}	$2yTBILL_{t-1}$	$2yTBILL_{t-1}$
N	795,059	795,059	795,059	795,059	795,059	795,059
R2	0.063	0.063	0.060	0.060	0.060	0.060
FEs	Firm	Firm	Firm	Firm	Firm	Firm